South Africa: Which Markets Are Worth Entering?

A data-driven read on South Africa's business markets — which are thriving, which are failing, what it costs to get in, and what it takes to survive.

Generated 2026-07-04 from live sources: Stats SA liquidations (May 2026 release), World Bank, SARB, Google News SA. Figures are for planning — verify before committing money.

The short version

Business failures are **falling**: liquidations are down 16% compared with the same month last year. That said, the bigger picture is unforgiving: roughly **7 to 8 out of every 10 small businesses in South Africa close within five years**, usually because of cash-flow gaps, late payments and thin capital — not because the idea was bad.

Strongest markets right now

- **ICT, Software & Digital Services** — SA's services export champion alongside BPO: software talent at 30-50% of US/EU cost with timezone overlap draws offshore demand; domestic demand driven by cloud adoption (AWS/Azure regions in SA), POPIA compliance and AI adoption.
- **Transport & Logistics** — Paradox market: Transnet's rail/port failure is a national crisis AND the sector's biggest private opportunity - freight moved to road, and private rail access + port concessions are opening.
- **Financial Services & Fintech** — SA produces Africa's most funded fintechs (TymeBank unicorn, Stitch, Peach Payments).

Best opportunity for a new entrant (growth vs cost of getting in)

- **ICT, Software & Digital Services** — long-term outlook excellent, entry relatively easy.
- **Energy & Renewables** — long-term outlook excellent, entry moderate.
- **BPO & Global Business Services** — long-term outlook excellent, entry moderate.

Approach with caution

- **Mining & Quarrying** — Structural decline of gold/PGM deep mining.
- **Construction & Infrastructure** — State capacity to actually spend budgets.

The economy at a glance

The backdrop every business in the country operates against.

1.1%

How fast the economy is growing (2025)

3.2%

Inflation (how fast prices rise) (2025)

32.4%

Unemployment (2025)

3.6%

Household spending growth (2025)

11.5

New businesses registered per 1,000 adults (2024)

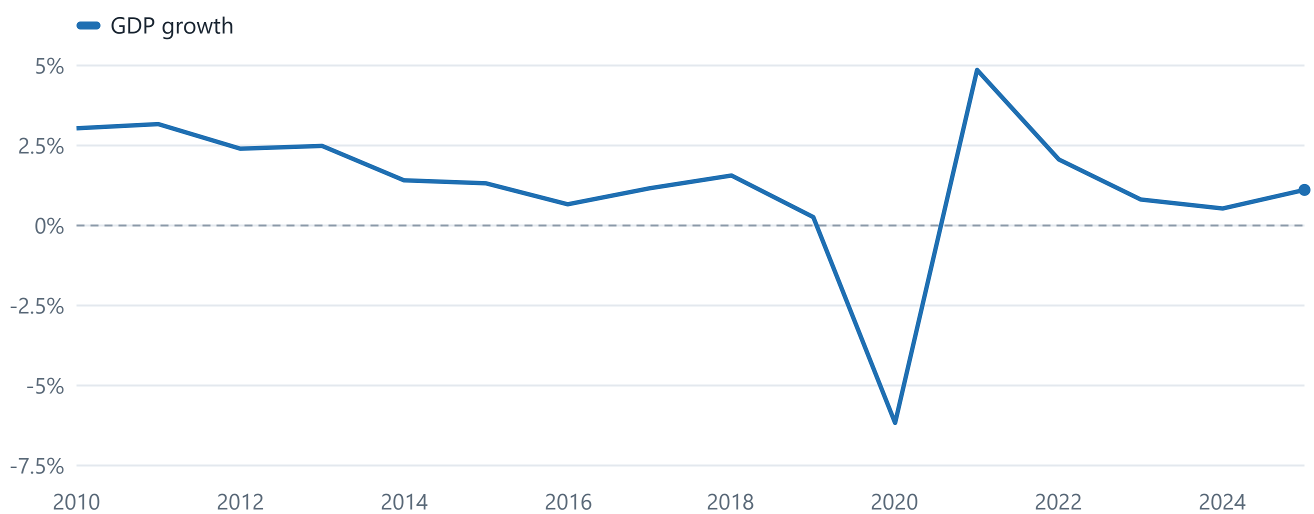
4.5%

Inflation right now (CPI)

10.5%

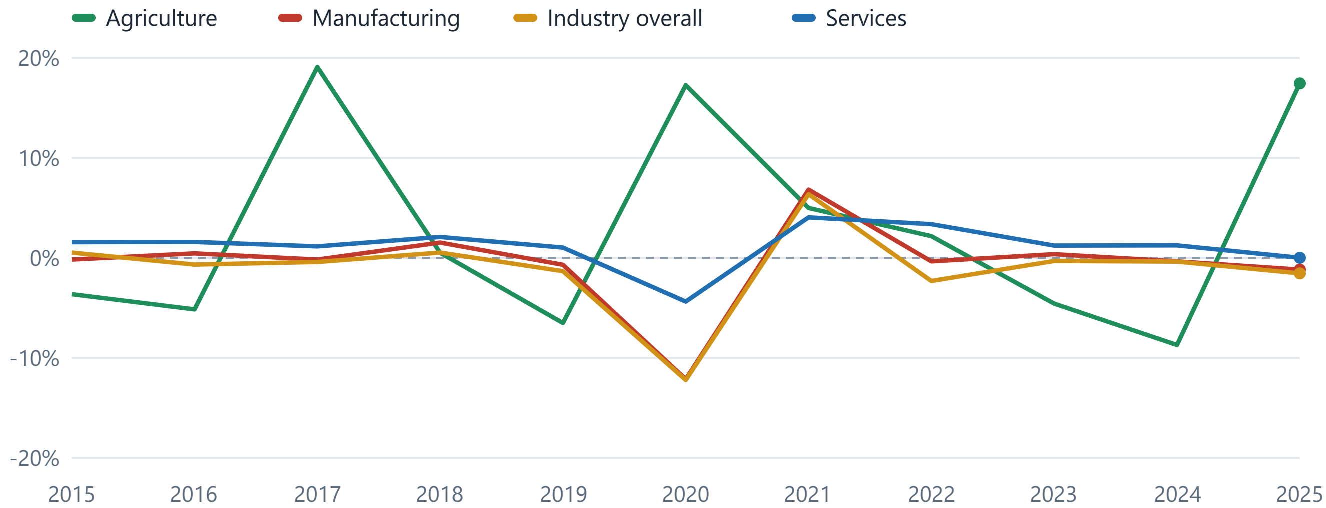
Prime rate (what banks charge)

Economic growth over the last 15 years



Real GDP growth per year. Below the dotted zero line, the economy shrank. Source: World Bank.

Which parts of the economy are growing?

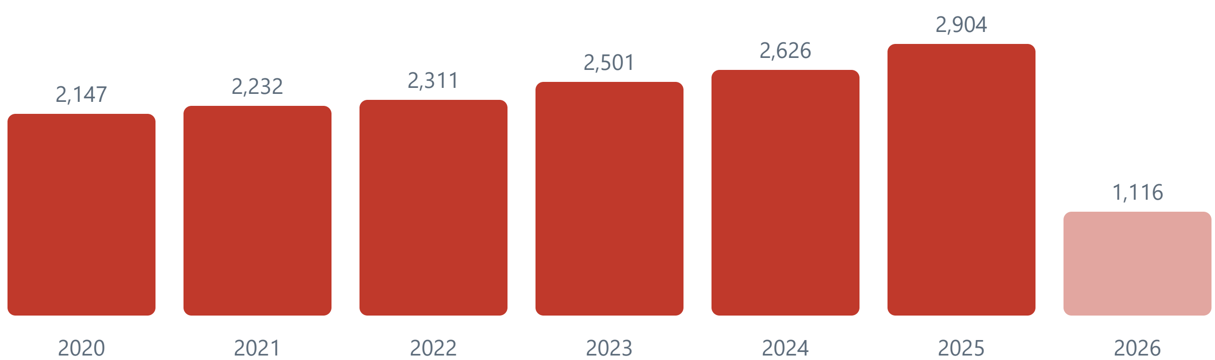


Real growth of each broad sector group per year. Source: World Bank.

Are more businesses failing, or fewer?

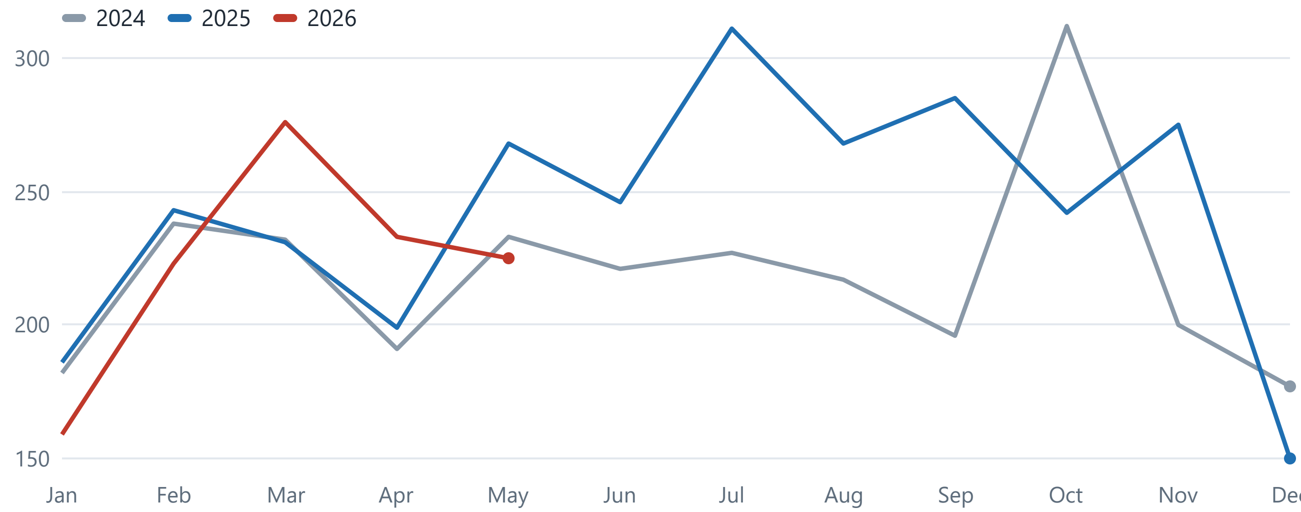
Formal liquidations are the official count of companies that closed. Most small-business closures never reach this register, so treat it as the tip of the iceberg — but the direction of the trend is meaningful.

Liquidations per year



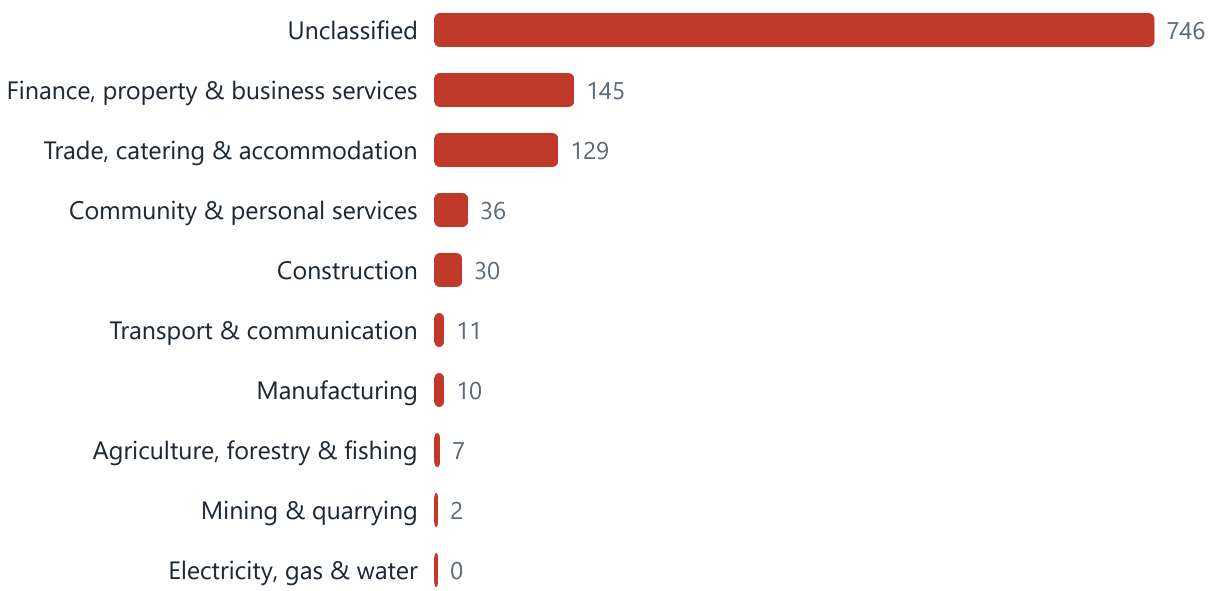
The last bar is a part-year figure. Source: Stats SA P0043.1 (official data from CIPC).

Month by month: this year vs recent years



Monthly liquidation counts. A line running below previous years means fewer businesses are closing.

Which industries are the closures in? (so far this year, May 2026 release)

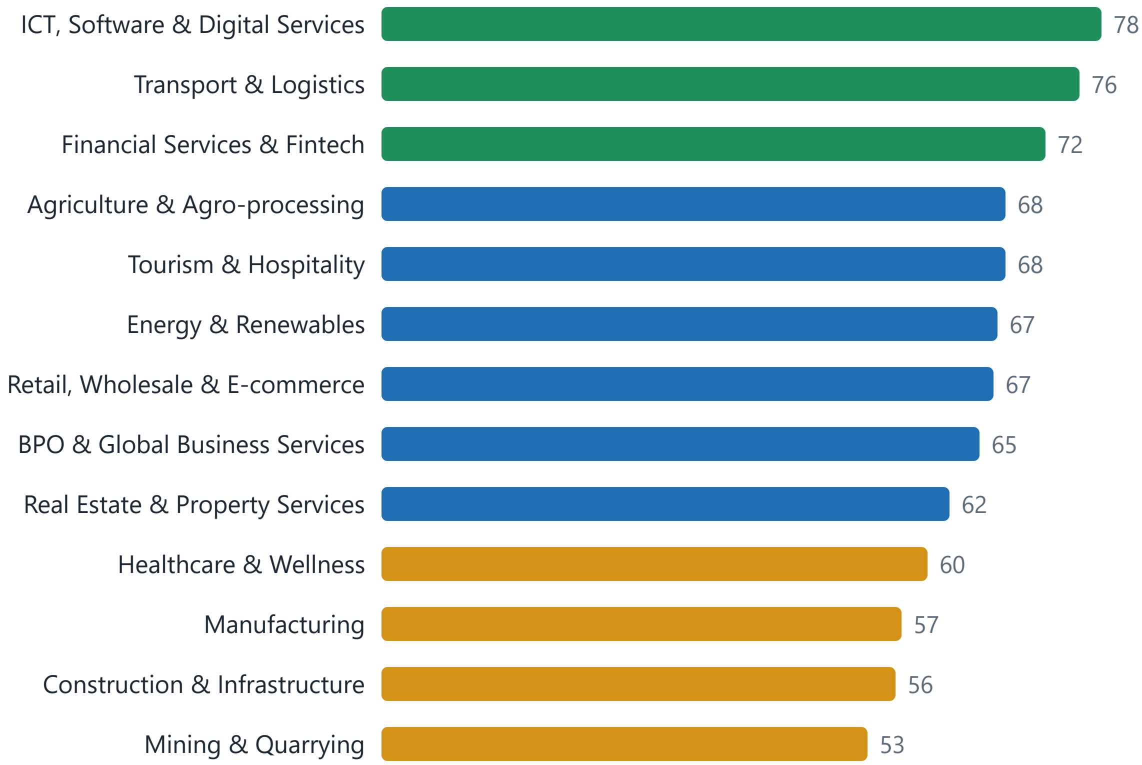


'Unclassified' is large because many closing companies never state an industry — read the named bars as relative pressure.

All markets, ranked

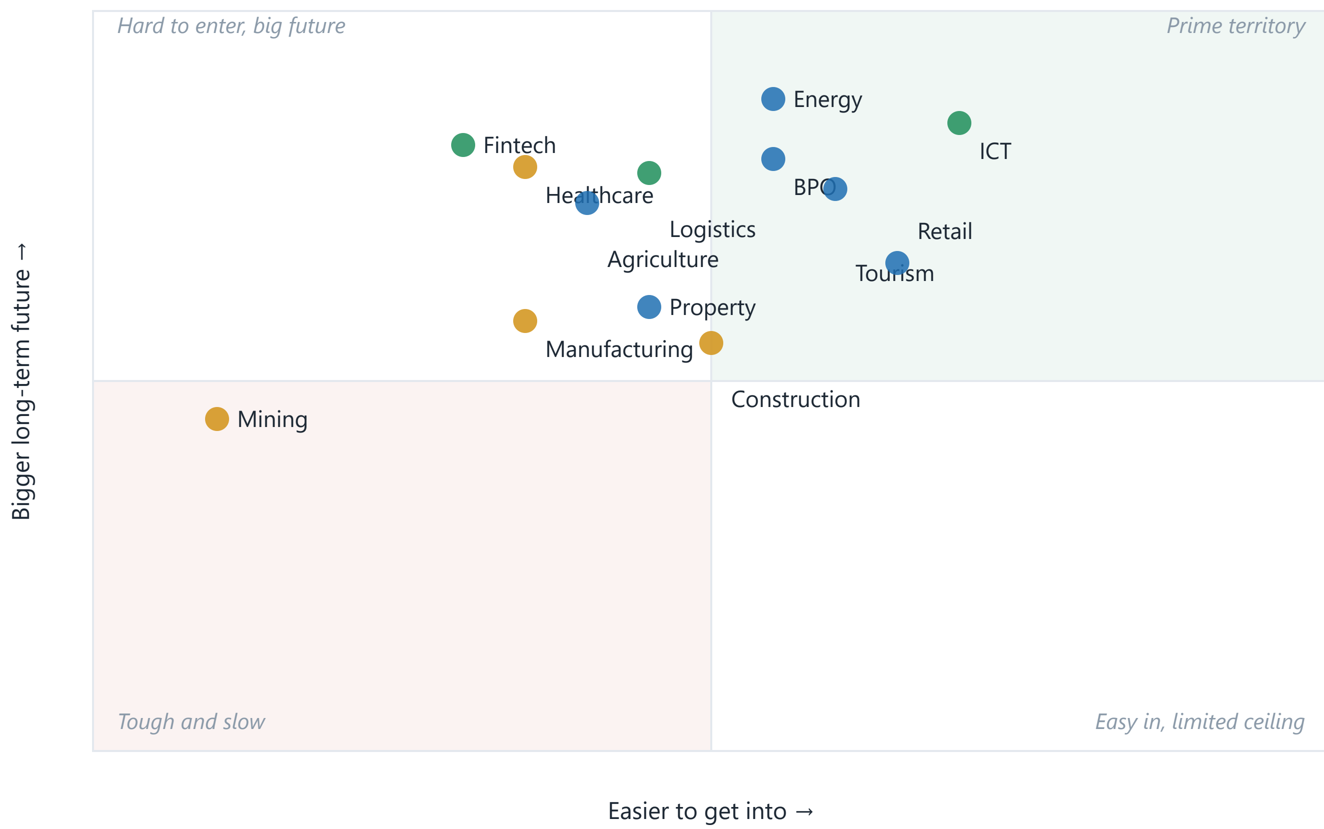
Health combines long-term outlook (35%), recent growth (25%), news signals (20%) and the liquidation trend (20%). Click a market in the table to jump to its full breakdown.

Health score by market



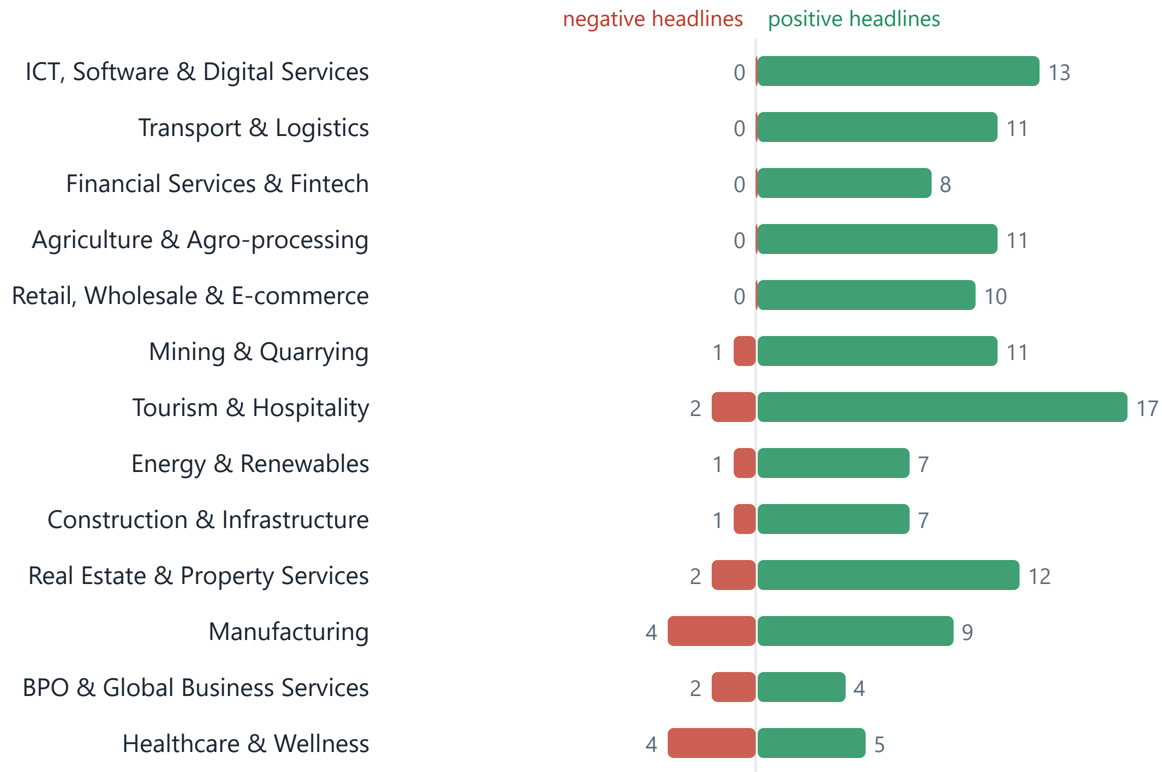
Green = strong growth market, blue = healthy, amber = stable but competitive, red = under pressure.

Where opportunity meets accessibility



Up = stronger 5-10 year outlook. Right = cheaper/easier for a new entrant. The top-right quadrant is where growth and accessibility overlap.

News mood by market (last 6 months)



Headlines classified as expansion/investment (green) vs closures/distress (red) from Google News South Africa.

#	MARKET	VERDICT	HEALTH	5-10YR OUTLOOK	GETTING IN
1	ICT, Software & Digital Services	Strong growth market	78/100	Excellent	Relatively easy
2	Transport & Logistics	Strong growth market	76/100	Good	Moderate
3	Financial Services & Fintech	Strong growth market	72/100	Excellent	Hard
4	Agriculture & Agro-processing	Healthy / improving	68/100	Good	Hard
5	Tourism & Hospitality	Healthy / improving	68/100	Good	Relatively easy
6	Energy & Renewables	Healthy / improving	67/100	Excellent	Moderate
7	Retail, Wholesale & E-commerce	Healthy / improving	67/100	Good	Relatively easy
8	BPO & Global Business Services	Healthy / improving	65/100	Excellent	Moderate
9	Real Estate & Property Services	Healthy / improving	62/100	Fair	Moderate
10	Healthcare & Wellness	Stable but competitive	60/100	Good	Hard
11	Manufacturing	Stable but competitive	57/100	Fair	Hard
12	Construction & Infrastructure	Stable but competitive	56/100	Fair	Moderate
13	Mining & Quarrying	Stable but competitive	53/100	Weak	Very hard (licences / heavy capital)

Market by market

1. ICT, Software & Digital Services

Strong growth market · 78/100

Bottom line: SA's services export champion alongside BPO: software talent at 30-50% of US/EU cost with timezone overlap draws offshore demand; domestic demand driven by cloud adoption (AWS/Azure regions in SA), POPIA compliance and AI adoption. Low capital, high skill barrier. Rand weakness is a feature (export earnings), not a bug.

Long-term outlook	Excellent	Recent growth momentum	Weak
News mood	Excellent	Failure trend (high = improving)	Excellent
Ease of entry	Good		

Getting in: **Relatively easy** · Recent momentum: the broader sector group grew +0.8% a year on average over the last three years

Are businesses failing here?

0 liquidations this month (11 so far this year), **▼ down 100% vs a year ago**.

Low formal liquidation counts (asset-light firms just dissolve); failure mode is slow starvation on local-only clients and key-person dependency.

What kills businesses in this market:

- Local-market-only focus
- Key developer departure
- Long enterprise sales cycles without runway
- Competing on price with global freelancers

What the survivors do differently:

- Offshore client base earning hard currency
- Vertical specialisation (fintech, mining-tech, agri-tech) over generalist
- Productise services into retainers/SaaS early

What it costs to start (rough ZAR planning figures)

- **Starting small:** R20k-R200k (freelance-to-agency, MSP seed, niche SaaS bootstrap)
- **Serious entry:** R500k-R5m (dev agency/MSP with bench, SaaS to first revenue)
- **At scale:** R10m-R100m (funded SaaS scale-up, data-centre adjacent services)

Capital-light but payroll-heavy: 6 months of salary cover is the real entry ticket. Offshore clients pay 2-4x local rates.

The numbers to watch (KPIs that decide survival)

Revenue per developer — aim for >R1.5m/yr agency; >R2.5m offshore
Utilisation and rate discipline decide agency survival.

Recurring revenue share — aim for >40% (retainers/SaaS/MSP)
Project-only shops die in demand troughs.

Net revenue retention (SaaS) — aim for >100%
SA market is small; expansion revenue must offset churn.

Offshore revenue share — aim for >30%
Hedge against rand and thin local IT budgets.

Gaps in the market — where new money can go

- AI implementation services for SA corporates (adoption gap is wide)
- POPIA/cyber compliance for mid-market (regulation outpacing skills)
- Sector SaaS: body corporates, schools, healthcare practice, logistics
- Offshore dev capacity for UK/EU (timezone advantage over Asia)

Why this market should grow over the next 5-10 years

- Global services offshoring to SA (cost + timezone + English)
- Cloud/AI adoption cycle domestically
- Hyperscaler data-centre investment (AWS, Azure, Google)

What could go wrong

- Skills emigration
- Global AI tooling deflating dev-shop rates
- Load shedding/connectivity in outlying areas

In the news lately

▲ Investment in tech startups rebounds after 'funding winter' - Connecting Africa

▲ Yango Tech Launches B2B AI and Digital Infrastructure Services in Africa - We are Tech

▲ Africa Health-Tech Accelerator Opens Applications for Early-Stage Startups Building AI and Digital Health Solutions - iAfrica.com

▲ South Africa's Altron Declares $30M Special Dividend After Profit Jump - Dabafinance

2. Transport & Logistics

Strong growth market · 76/100

Bottom line: Paradox market: Transnet's rail/port failure is a national crisis AND the sector's biggest private opportunity - freight moved to road, and private rail access + port concessions are opening. Last-mile delivery rides the e-commerce wave. High operating risk: diesel, tolls, hijacking, driver scarcity.

Long-term outlook	Good	Recent growth momentum	Weak
News mood	Excellent	Failure trend (high = improving)	Excellent
Ease of entry	Weak		

Getting in: **Moderate** · Recent momentum: the broader sector group grew +0.8% a year on average over the last three years

Are businesses failing here?

0 liquidations this month (11 so far this year), **▼ down 100% vs a year ago**.

Owner-driver and small fleets churn heavily; failures cluster around diesel price spikes, contract loss and hijacking/insurance cost shocks.

What kills businesses in this market:

- Single-contract dependency
- Diesel price exposure without escalation clauses
- Cargo crime
- Under-insured breakdowns

What the survivors do differently:

- Contracted lanes with fuel-price escalation clauses
- Backhaul networks to kill empty legs
- Niche: cold chain, dangerous goods, outsize - where rates hold

What it costs to start (rough ZAR planning figures)

- **Starting small:** R150k-R800k (bakkie/van last-mile fleet of 1-3, courier franchise)
- **Serious entry:** R2m-R20m (5-15 truck fleet with contracts, cold chain, warehousing 3PL)
- **At scale:** R50m-R500m (fleet + DC network, private rail siding operations)

Vehicle finance is accessible but contract-first is the rule: a truck without a lane contract is a depreciating liability.

The numbers to watch (KPIs that decide survival)

Cost per km vs revenue per km — aim for >R6/km spread on long-haul

Diesel is ~40% of cost; the spread is survival.

Fleet utilisation (loaded km %) — aim for >85% loaded, <15% empty legs

Empty return legs are the silent killer.

On-time-in-full (OTIF) — aim for >96%

Retail DC penalties and contract renewals hinge on it.

Delivery cost per parcel (last-mile) — aim for <R35 metro

E-com viability threshold; density is everything.

Gaps in the market — where new money can go

- Private rail slot operations & rail-adjacent terminals (Transnet reform)
- Cold-chain capacity for agri exports and pharma
- Township last-mile networks (pick-up points, moto-courier)
- Cross-border road freight into SADC (AfCFTA volumes)
- Logistics-tech: load-matching to cut the ~30% empty-leg waste

Why this market should grow over the next 5-10 years

- Transnet reform opening private participation
- E-commerce last-mile growth 20%+ p.a.
- AfCFTA regional trade corridors

What could go wrong

- Road infrastructure decay
- Fuel price/rand volatility
- Cargo crime escalation

In the news lately

▲ MSC Highlights Expanded Intermodal Solutions Across Africa to Boost Inland Connectivity for Customers - MSC

▲ Middle East conflict an opportunity for SA ports – Ramaphosa - Moneyweb

▲ MSC expands intermodal logistics across Africa - African Review

▲ Transportation and Logistics Market Overview - Market Growth Reports

3. Financial Services & Fintech

Strong growth market · 72/100

Bottom line: SA produces Africa's most funded fintechs (TymeBank unicorn, Stitch, Peach Payments). Rapid Payments (PayShap) and open-banking rules are re-plumbing the market. Traditional advice/brokerage remains profitable but consolidating under regulation (RE exams, COFI incoming). High regulatory moat = high reward.

Long-term outlook	Excellent	Recent growth momentum	Weak
News mood	Excellent	Failure trend (high = improving)	Good
Ease of entry	Poor		

Getting in: **Hard** · Recent momentum: the broader sector group grew +0.8% a year on average over the last three years

Are businesses failing here?

26 liquidations this month (145 so far this year), **▼ down 38% vs a year ago**.

Finance/insurance/real estate/business services is the single highest liquidation line in Stats SA data (it's also the broadest); fintech startups fail on distribution cost, not tech.

What kills businesses in this market:

- CAC exceeding LTV in low-income segments
- Regulatory breach/licence loss
- Credit-loss blowouts
- Funding winter for pre-revenue models

What the survivors do differently:

- Embedded distribution (partner with retailers/telcos/employers) over direct
- Revenue from day one (SME segment pays; consumers churn)
- Compliance as moat: get licensed early, competitors can't follow fast

What it costs to start (rough ZAR planning figures)

- **Starting small:** R100k-R1m (FSP brokerage/advisory practice under a licence umbrella)
- **Serious entry:** R2m-R20m (niche lender, payments reseller, insurtech MGA)
- **At scale:** R50m-R500m+ (own banking/insurance licence plays, lending book at scale)

Regulatory capital is the gate: FSP licence is cheap (R10k-ish + compliance), NCR lending needs capital adequacy, insurance cell captives rent a licence for R1m-R5m, full licences need R50m+.

The numbers to watch (KPIs that decide survival)

Cost of acquisition vs LTV — aim for LTV/CAC > 3x

Distribution cost decides fintech survival; SA CACs are high for low-income segments.

Default/loss rate (lenders) — aim for NPL < 8% unsecured

SA unsecured credit losses sank African Bank 1.0; underwriting is the business.

Compliance cost as % of revenue — aim for <12% at scale

COFI/FICA/POPIA burden crushes sub-scale players.

Assets under advice per adviser — aim for >R100m

Advisory practices below this consolidate or die.

Gaps in the market — where new money can go

- SME lending against real-time transaction data (R350bn credit gap)
- Cross-border remittances SADC corridor (fees still 8-12%)
- Insurance for the informal economy (device, funeral+, gig workers)
- PayShap/open-banking infrastructure services for corporates
- Stokvel formalisation platforms (R50bn+ informal savings pool)

Why this market should grow over the next 5-10 years

- Open banking + Rapid Payments re-plumbing
- Huge underbanked SME/informal segments
- SA as fintech gateway to African markets

What could go wrong

- Regulatory cost escalation
- Big-bank fast-follow crushing niches
- Consumer credit stress

In the news lately

▲ Fintech is booming – but regulation, risk, and trust will decide who wins - Moonstone Information Refinery

▲ Chikwama Pay, Paymentology partner to expand WhatsApp-based banking - Connecting Africa

▲ Checker raises $8m for African stablecoin banking infrastructure - Africa Business Communities

▲ Finovate Global Africa: Stablecoins, Digital Payments, and Funding Infrastructure - Finovate

4. Agriculture & Agro-processing

Healthy / improving · 68/100

Bottom line: Export-led star performer: citrus, table grapes, nuts and wine drive growth; SA is the world's #2 citrus exporter. Volatile year-to-year (drought/El Niño cycles) but structurally strong. Agro-processing adds margin the farm gate can't.

Long-term outlook	Good	Recent growth momentum	Weak
News mood	Excellent	Failure trend (high = improving)	Fair
Ease of entry	Weak		

Getting in: **Hard** · Recent momentum: the broader sector group grew +1.4% a year on average over the last three years

Are businesses failing here?

1 liquidations this month (7 so far this year), **▼ down 0% vs a year ago**.

Low liquidation counts (few formal companies) but high informal attrition; new entrants without water rights or offtake agreements fail fastest.

What kills businesses in this market:

- Drought/climate shocks
- No secured offtake before planting
- Under-capitalised first 3 seasons
- Logistics failures at ports (export fruit)

What the survivors do differently:

- Secured offtake/export agent relationships before production
- Water rights or reliable irrigation
- Crop insurance and 18-month cash runway
- Move up the chain: processing/packing beats primary production margin

What it costs to start (rough ZAR planning figures)

- **Starting small:** R50k-R500k (tunnel/hydroponic veg, broilers, agri-services)
- **Serious entry:** R2m-R10m (small commercial unit, processing line, packhouse share)
- **At scale:** R20m-R100m+ (commercial farm with water rights, export packhouse)

Land + water rights dominate cost; leasing and outgrower models cut entry capital by 50-70%.

The numbers to watch (KPIs that decide survival)

Yield per hectare vs regional benchmark — aim for Within 10% of top-quartile producers

Thin margins make yield the primary survival lever.

Export-grade pass rate (Class 1 %) — aim for >85% for fruit

Export prices are 2-4x local; rejects destroy margin.

Water cost per ton — aim for Falling year-on-year

Water scarcity is the binding long-term constraint.

Debt-service cover ratio — aim for >1.5x through a drought season

Climate volatility means one bad season must be survivable.

Gaps in the market — where new money can go

- Agro-processing of exported-raw commodities (nuts, hemp, moringa) locally
- Cold-chain and packhouse capacity in Limpopo/Eastern Cape growth corridors
- Precision-agri services (drone scouting, soil analytics) for mid-size farms
- Halal-certified processing for Middle East export demand

Why this market should grow over the next 5-10 years

- Global food demand and weak rand favour exports
- AfCFTA opens African markets
- Under-utilised land in former homelands with new financing models

What could go wrong

- Climate volatility
- Port/rail logistics (Transnet)
- Land-reform policy uncertainty
- US/EU trade access (AGOA review)

In the news lately

▲ Policy certainty, infrastructure key to unlocking agricultural investment - South African Government News Agency

▲ AAMP drives growth but hurdles stall inclusive agriculture - Food For Mzansi

▲ South Africa, Italy move to deepen agricultural trade, investment - The Witness | Your compass in the community

▲ South Africa, Italy move to deepen agricultural trade and investment partnership - South African Government News Agency

5. Tourism & Hospitality

Healthy / improving · 68/100

Bottom line: Recovered past pre-COVID arrivals and structurally advantaged by the weak rand (SA is a value destination) and remote-work travel. Cape Town is capacity-constrained in peak season. Visa reform (points-based, digital nomad visa) is unlocking India/China volume - the big swing factor.

Long-term outlook	Good	Recent growth momentum	Weak
News mood	Excellent	Failure trend (high = improving)	Fair
Ease of entry	Fair		

Getting in: **Relatively easy** · Recent momentum: the broader sector group grew +0.8% a year on average over the last three years

Are businesses failing here?

19 liquidations this month (129 so far this year), ▼ **down 34% vs a year ago**.

High churn in restaurants and small hospitality (shares the trade/catering/accommodation liquidation line - consistently top-2).

What kills businesses in this market:

- Seasonality without cash reserves
- OTA dependency
- Location misjudgment
- Restaurant margin collapse under food inflation

What the survivors do differently:

- Own the guest relationship (direct booking, repeat/referral engine)
- Multi-revenue property (rooms + events + experiences)
- Target growth source markets (India, China, domestic black middle class)

What it costs to start (rough ZAR planning figures)

- **Starting small:** R50k-R500k (tour guiding, transfers, experience products, Airbnb arbitrage)
- **Serious entry:** R2m-R15m (guesthouse/boutique lodge purchase or build, restaurant)
- **At scale:** R30m-R300m (hotel development, game lodge)

Experience/service businesses need 10-20x less capital than accommodation and scale on marketing skill, not property.

The numbers to watch (KPIs that decide survival)

Occupancy rate — aim for >65% annualised (smoothing seasonality)

Below ~55% most lodging fails to cover fixed costs.

RevPAR growth vs STR benchmark — aim for At/above market

The standard measure of whether you're winning share or discounting.

Direct booking share — aim for >40%

OTA commissions (15-25%) decide profitability at typical occupancy.

Shoulder/low-season revenue share — aim for >30% of annual

Seasonality kills; domestic and MICE demand fill the trough.

Gaps in the market — where new money can go

- Mid-market group travel for Indian/Chinese arrivals (visa reform tailwind)
- Township and cultural tourism with credible safety wrappers
- Remote-work/'workation' products (nomad visa launched)
- Adventure and rail tourism outside the Cape-Kruger corridor

Why this market should grow over the next 5-10 years

- Weak rand = value destination
- Visa reform unlocking Asia volume
- Air-access expansion
- Global experience-economy growth

What could go wrong

- Crime perception
- Cape water/energy infrastructure under peak load
- Global recession sensitivity

In the news lately

▼ Talent crisis in hospitality: Why we need to rethink skills, not just fill jobs - Moneyweb

▲ Africa's Travel Indaba opens in Durban - ECR

▲ South Africa's tourism sector is booming with tourists seeking authentic experiences - novanews.co.za

▲ Hilton to double South African portfolio: massive expansion planned through 2030 - sundayindependent.co.za

6. Energy & Renewables

Healthy / improving · 67/100

Bottom line: The clearest structural growth market in SA. Private generation liberalised (licence threshold scrapped), wheeling and trading opening up, REIPPP rounds continuing, plus a massive rooftop solar and battery retrofit market. Grid connection capacity is the new bottleneck - and itself an opportunity.

Long-term outlook	Excellent	Recent growth momentum	Poor
News mood	Excellent	Failure trend (high = improving)	Fair
Ease of entry	Fair		

Getting in: **Moderate** · Recent momentum: the broader sector group grew -0.8% a year on average over the last three years

Are businesses failing here?

Too few formal liquidations in this industry to read a trend.

Post-2023 gold rush left an installer glut; failures now among undifferentiated residential installers as load shedding eased. C&I, BESS and O&M remain undersupplied.

What kills businesses in this market:

- Race-to-bottom pricing in residential solar
- Stock financed at high rates
- Post-loadshedding demand normalisation
- Poor workmanship liabilities

What the survivors do differently:

- Shift from residential to C&I, agri and body-corporate segments
- Recurring O&M and performance-guarantee contracts
- Financing partnerships (rent-to-own, PPA) to unlock capex-shy clients

What it costs to start (rough ZAR planning figures)

- **Starting small:** R100k-R750k (solar installation business: tools, stock, accreditation)
- **Serious entry:** R2m-R20m (commercial & industrial EPC, O&M contracts, energy trading start-up)
- **At scale:** R50m-R2bn (utility-scale IPP project equity, BESS projects)

Installer businesses are working-capital games (stock + 30-60 day project cycles); IPP development is a 3-5 year development-capital game with 10x payoffs on financial close.

The numbers to watch (KPIs that decide survival)

Installed cost per kWp (C&I) — aim for Competitive at R9-R14/Wp installed

Commoditising fast; cost position decides who wins bids.

O&M contract book (annuity revenue %) — aim for >30% of revenue recurring

Install-only businesses die when the retrofit wave slows.

Project pipeline conversion — aim for >25% quote-to-close

Long sales cycles kill cash flow if conversion is weak.

CoCT/Eskom wheeling & SSEG registrations — aim for 100% compliant installs

Regularisation deadlines create both risk and retrofit demand.

Gaps in the market — where new money can go

- Battery storage retrofits and grid-services aggregation (VPPs)
- Energy trading/wheeling services on the new market rules
- Municipal grid maintenance outsourcing (distribution crisis)
- Solar O&M, cleaning and insurance-repair at scale
- EV charging infrastructure ahead of the fleet transition

Why this market should grow over the next 5-10 years

- Electricity market liberalisation (ERA amendment)
- 8-10GW+ of grid access queue demand
- Carbon border taxes pushing corporate PPAs
- Coal fleet retirement schedule guarantees 15+ years of build-out

What could go wrong

- Grid connection bottlenecks
- Policy execution speed
- Cheap-import dependency for panels/inverters

In the news lately

▲ Grid expansion, management critical as South Africa’s electricity sector decentralises - Engineering News

▲ Green energy features prominently at 2026 investment gathering - Engineering News

▼ Mulilo closes financing for 77-MW/308-MWh BESS project in S Africa | Energy Storage News - Renewables Now

▲ South Africa Set For Record Renewable Energy And Battery Storage Growth In 2026 - SolarQuarter

7. Retail, Wholesale & E-commerce

Healthy / improving · 67/100

Bottom line: Largest employer among these sectors and brutally competitive. Formal retail is consolidating (Shoprite winning share), while e-commerce finally hit escape velocity (~10% of retail and growing 25%+ p.a.; Amazon SA entry, Sixty60/Dash on-demand). Township/informal retail (spaza ecosystem) is being formalised and digitised - a major white space.

Long-term outlook	Good	Recent growth momentum	Weak
News mood	Excellent	Failure trend (high = improving)	Fair
Ease of entry	Good		

Getting in: **Relatively easy** · Recent momentum: the broader sector group grew +0.8% a year on average over the last three years

Are businesses failing here?

19 liquidations this month (129 so far this year), **▼ down 34% vs a year ago**.

Trade/catering/accommodation is consistently the 2nd-highest liquidation industry in Stats SA data - low barriers bring high churn.

What kills businesses in this market:

- Undifferentiated offering vs chains
- Rent escalations in malls
- Thin margins meeting high funding costs
- E-com logistics cost per order

What the survivors do differently:

- Niche category authority over general merchandise
- Omnichannel from day one (WhatsApp commerce is huge in SA)
- Direct import or private label for margin
- Township locations: lower rent, underserved demand

What it costs to start (rough ZAR planning figures)

- **Starting small:** R30k-R300k (online niche store, spaza upgrade, market stall to formal)
- **Serious entry:** R500k-R5m (franchise entry: R800k-R3m typical; independent store fit-out)
- **At scale:** R10m-R100m (multi-store, distribution, private-label brand)

Franchises (food/retail) run R500k-R6m all-in with 60%+ 5-year survival vs ~20% for independents - the premium buys a tested model.

The numbers to watch (KPIs that decide survival)

Gross margin — aim for Food 20-25%; apparel 45-55%; electronics 12-18%
Category-typical margins; below these, volume can't save you.

Stock turns — aim for >8x/yr food, >4x/yr apparel
Dead stock is dead cash in a high-interest-rate economy.

CAC vs first-order margin (e-com) — aim for Payback < 2 orders
Paid acquisition costs kill most SA online stores before repeat rate matures.

Basket size growth vs inflation — aim for Real growth positive
Consumers are trading down; nominal growth flatters.

Gaps in the market — where new money can go

- Township e-commerce fulfilment and pick-up point networks
- Spaza-shop wholesale digitisation (ordering apps, stokvel integration)
- Second-hand/recommerce platforms (cost-of-living tailwind)
- Halal, plant-based and health niches under-served by chains

Why this market should grow over the next 5-10 years

- E-commerce structural shift (off a low base)
- Two-pot retirement withdrawals boosting consumption
- Rate-cut cycle restoring credit-fuelled retail

What could go wrong

- Consumer under strain (unemployment)
- Chain consolidation squeezing independents
- Shein/Temu direct-import competition

In the news lately

▲ SA’s online holiday shopping surges nearly 50% - ITWeb

▲ SpendTrend26: South Africans pair a cautious spend recovery with a decisive shift to digital payments - Mynewsdesk

▲ Study warns that online grocery boom could leave smaller retailers behind - NWU

▲ Mobile-first shopping dominates as SA's e-commerce surges - Bizcommunity

8. BPO & Global Business Services

Healthy / improving · 65/100

Bottom line: SA's quiet export winner: #1 ranked offshore CX destination (neutral English accent, timezone, 50-60% cost saving vs UK/US), government incentives per offshore job, 100k+ international seats and growing double digits. AI is both the threat (basic voice work) and the upsell (AI-assisted omnichannel).

Long-term outlook	Excellent	Recent growth momentum	Weak
News mood	Good	Failure trend (high = improving)	Good
Ease of entry	Fair		

Getting in: **Moderate** · Recent momentum: the broader sector group grew +0.8% a year on average over the last three years

Are businesses failing here?

26 liquidations this month (145 so far this year), ▼ **down 38% vs a year ago**.

Failures cluster in domestic-campaign-only centres with thin margins and in operators who built seats before contracts.

What kills businesses in this market:

- Building capacity ahead of contracts
- Domestic-only low-margin campaigns
- Attrition cost spirals
- AI displacing simple voice work

What the survivors do differently:

- Offshore (UK/US/AUS) clients from day one
- Move up value chain: omnichannel, tech support, back-office, legal/med process
- Impact-sourcing angle (township talent) wins global corporate procurement

What it costs to start (rough ZAR planning figures)

- **Starting small:** R100k-R500k (work-from-home micro-campaign, lead-gen pod of 5-10 seats)
- **Serious entry:** R2m-R15m (50-150 seat facility with BYOC campaigns)
- **At scale:** R30m-R200m (500+ seats multi-client, impact-sourcing at scale)

GBS incentive pays R uptoR1.1k/job/month for offshore work (tiered); the real gate is landing the first international client - broker/BPO-aggregator routes derisk entry.

The numbers to watch (KPIs that decide survival)

Seat utilisation — aim for >85%

Empty seats with leases and salaries are the classic BPO failure.

Attrition rate — aim for <35% p.a. (industry runs 40-60%)

Recruitment/training cost per agent is R15k-R30k.

Revenue per seat vs cost per seat — aim for >R25k/month offshore revenue

Domestic campaigns pay half of offshore; mix decides margin.

Client concentration — aim for No client >40% of seats

Campaign loss without diversification is instant crisis.

Gaps in the market — where new money can go

- AI-augmented CX services (human+bot blended offerings)
- Specialised verticals: healthcare admin, legal process, fintech compliance ops
- Secondary-city delivery centres (Gqeberha, Durban - cost below Cape Town/Joburg)
- Training academies feeding the talent pipeline (funded by SETAs)

Why this market should grow over the next 5-10 years

- Global offshoring momentum to SA
- Government GBS incentives
- Youth labour pool with neutral English

What could go wrong

- Generative AI eroding basic voice volumes
- Competitor destinations (Kenya, Egypt)
- Infrastructure reliability perceptions

In the news lately

▲ More jobs on horizon as BPO sector attracts investment - ITWeb

▲ SA's call centre economy surges, creating 8,000 jobs in three months - TimesLIVE

▼ The job crisis in Cape Town: Youth unemployment laid bare at Athlone Stadium - Cape Times

▼ 25 000 Young Capetonians Turn Up For 1 000 Jobs: The Athlone Stadium Scene Shows Just How Brutal The Youth Unemployment Crisis Is - 2oceansvibe News

9. Real Estate & Property Services

Healthy / improving · 62/100

Bottom line: Deeply bifurcated: Western Cape booms (semigration) while Joburg CBD/office decays; affordable housing demand is insatiable but development margins are thin. Rate-cut cycle is the near-term driver. Services (management, sectional title) are steadier than development.

Long-term outlook	Fair	Recent growth momentum	Weak
News mood	Excellent	Failure trend (high = improving)	Good
Ease of entry	Weak		

Getting in: **Moderate** · Recent momentum: the broader sector group grew +0.8% a year on average over the last three years

Are businesses failing here?

26 liquidations this month (145 so far this year), ▼ **down 38% vs a year ago**.

Shares the top liquidation line with finance; small developers fail on pre-sale shortfalls and bridging costs, agencies churned by PPRA compliance and thin deal flow.

What kills businesses in this market:

- Interest-rate exposure
- Pre-sales below bank thresholds
- Municipal services failures killing valuations
- Body-corporate arrears spirals

What the survivors do differently:

- Follow semigration and infrastructure (Western Cape, KZN North Coast)
- Affordable/GAP segment where demand outruns supply 10:1
- Annuity services (management) to smooth transactional income

What it costs to start (rough ZAR planning figures)

- **Starting small:** R50k-R500k (rental management agency, sectional-title services, flipping JV)
- **Serious entry:** R2m-R20m (small development JV equity, buy-to-let portfolio seed, student housing conversion)
- **At scale:** R50m-R500m (development projects, REIT-feeder portfolios)

Development leverage is 60-70% senior debt; services businesses need almost no capital but scale on trust and PPRA compliance.

The numbers to watch (KPIs that decide survival)

Net rental yield — aim for >9% affordable segment, >7% mid-market

Below funding cost = negative carry in a 10%+ prime environment.

Vacancy rate — aim for <5% residential portfolio

One vacant month erases a year's margin on a geared unit.

Collections rate — aim for >97%

PIE Act makes eviction slow; tenant quality is underwriting.

Development cost per m² vs selling price — aim for GP margin > 20%

Construction inflation eats thinner margins mid-project.

Gaps in the market — where new money can go

- Affordable rental stock in metros (massive shortfall)
- Student accommodation (NSFAS-driven demand, chronic shortage)
- Office-to-residential conversions in decayed CBDs
- Sectional-title management tech (arrears, compliance automation)

Why this market should grow over the next 5-10 years

- Rate-cut cycle
- Household formation and urbanisation
- Semigration re-pricing coastal metros

What could go wrong

- Municipal decay destroying suburb value
- Rates/levies inflation
- Sluggish income growth capping prices

In the news lately

▲ South Africa’s property market is fighting to go from zero to hero - Daily Investor

▲ SA property market turns defensive as investors eye resilient assets - Business Day

▲ South Africa investment report 2025 /2026 - JLL

▲ South Africa's property boom returns but not all regions are winning - IOL

10. Healthcare & Wellness

Stable but competitive · 60/100

Bottom line: Defensive growth: ageing insured population, huge unserved low-income demand, and nursing/GP scarcity. NHI Act creates policy noise but implementation is years away and funding-constrained; low-cost private models (Unjani, Intercare-style) are the growth story either way.

Long-term outlook	Good	Recent growth momentum	Weak
News mood	Fair	Failure trend (high = improving)	Fair
Ease of entry	Weak		

Getting in: **Hard** · Recent momentum: the broader sector group grew +0.8% a year on average over the last three years

Are businesses failing here?

4 liquidations this month (36 so far this year), **▼ down 0% vs a year ago**.

Low liquidation counts; failures concentrate in under-capitalised facilities awaiting licence/scheme accreditation and in wellness ventures with thin clinical differentiation.

What kills businesses in this market:

- Licensing/accreditation delays burning runway
- Scheme payment squeezes
- Clinical staff scarcity and cost
- NHI-uncertainty freezing investment

What the survivors do differently:

- Low-cost cash-based models for the uninsured majority
- Nurse-led clinics (regulatory space + cost structure)
- Occupational health contracts with mines/factories (B2B annuity)

What it costs to start (rough ZAR planning figures)

- **Starting small:** R100k-R1m (home care agency, wellness practice, medical logistics)
- **Serious entry:** R2m-R20m (GP/dental multi-room practice, day clinic share, pharmacy franchise ~R3m-R8m)
- **At scale:** R50m-R500m (day hospital, sub-acute/frail care facility)

Licensing (DoH facility licences, HPCSA/SAPC rules on ownership) shapes what non-clinicians may own - day hospitals and care facilities are investable; GP practices mostly aren't.

The numbers to watch (KPIs that decide survival)

Patient volume per practitioner day — aim for GP 25-35; dental 8-12

Fixed clinical salaries need throughput to amortise.

Medical-aid vs cash mix — aim for Cash/hybrid >30% in low-cost models

Scheme reimbursement is slow and squeezed; cash models grow faster.

Claim rejection rate — aim for <5%

Billing-code errors quietly destroy practice margins.

Bed/chair occupancy (facilities) — aim for >70%

Facilities are fixed-cost machines like hotels.

Gaps in the market — where new money can go

- Low-cost primary care clinics in townships (Unjani model proves it)
- Frail care and dementia care (ageing insured cohort, chronic shortage)
- Mental health services (massive under-provision, corporate demand)
- Telehealth + chronic-medicine delivery to rural areas
- Medical tourism (dental/cosmetic at weak-rand prices)

Why this market should grow over the next 5-10 years

- Demographics (ageing insured + young uninsured demand)
- Clinician scarcity supports pricing
- Corporate wellness spend growth

What could go wrong

- NHI policy uncertainty
- Scheme membership stagnation
- Skills emigration of clinicians

In the news lately

▲ NHI uncertainty reshapes healthcare investment as access and affordability pressures intensify in SA - Daily Maverick

▼ Private hospitals must help fix SA’s healthcare crisis, says Busamed CEO - IOL

▲ NHI will chase taxpayers, including doctors, out of South Africa - Daily Investor

▲ Profiting from sickness: Medical aid betrayal and the NHI gamble - Daily Maverick

11. Manufacturing

Stable but competitive · 57/100

Bottom line: Two-speed market: legacy heavy manufacturing (steel, autos under AGOA threat) is under pressure, while niche/light manufacturing (food processing, packaging, import-substitution) holds up. Localisation policy and load-shedding recovery are tailwinds; cheap import competition is the standing headwind.

Long-term outlook	Fair	Recent growth momentum	Poor
News mood	Good	Failure trend (high = improving)	Good
Ease of entry	Weak		

Getting in: **Hard** · Recent momentum: the broader sector group grew -0.4% a year on average over the last three years

Are businesses failing here?

2 liquidations this month (10 so far this year), **▼ down 60% vs a year ago**.

Consistently among the higher liquidation counts in Stats SA data; energy-intensive and import-exposed subsectors fail most.

What kills businesses in this market:

- Cheap import competition (esp. from China)
- Energy cost and interruption
- Working-capital squeeze on 60-90 day payment terms
- Skills scarcity (artisans)

What the survivors do differently:

- Niche products where freight/lead-time beats imports
- Energy self-sufficiency (solar) locked in early
- Export certification to run both local and export demand
- Automation to offset labour productivity gap

What it costs to start (rough ZAR planning figures)

- **Starting small:** R150k-R1m (CNC/laser job shop, food micro-processing, garment cell)
- **Serious entry:** R2m-R15m (light factory: packaging, plastics, food line with HACCP)
- **At scale:** R30m-R200m (full plant with export certification)

Second-hand equipment and rented industrial space cut entry capital ~40%; energy backup (solar+battery) is now a non-negotiable line item (add 8-15% of capex).

The numbers to watch (KPIs that decide survival)

Capacity utilisation — aim for >75% (Absa PMI benchmark)

Below ~65% fixed costs eat margin; SA average hovers near 78-80%.

Gross margin after energy — aim for >30%

Energy cost shocks are the #1 SA-specific killer.

Order book vs 3-month capacity — aim for >1.2x

Import competition makes demand visibility short.

Localisation/designation qualification — aim for Certified where applicable

Public procurement designations reserve demand for local makers.

Gaps in the market — where new money can go

- Import substitution in packaging, components and fasteners
- Food processing for retail private-label (fast-growing shelf space)
- Defence/rail component manufacturing (localisation designations)
- Solar mounting/electrical BOS component manufacture for the energy boom

Why this market should grow over the next 5-10 years

- Localisation policy and public procurement designations
- Energy availability improving from 2024 lows
- AfCFTA regional export potential

What could go wrong

- AGOA loss would hit autos/agri-processing exports
- Import competition
- Municipal infrastructure decay

In the news lately

▼ SAFTU ON THE DECLINE OF MANUFACTURING PRODUCTION AND THE COLLAPSE OF SOUTH AFRICA'S INDUSTRIAL BASE. - South African Federation of Trade Unions – SAFTU

▼ Factory output shrinks 2.9% as manufacturing slump deepens - Business Day

▲ Factory floor: the manufacturing recovery that may never be - Currency News

▼ What the Newcastle sweatshop crisis reveals about manufacturing in SA - Daily Maverick

12. Construction & Infrastructure

Stable but competitive · 56/100

Bottom line: A decade-long decline (major contractors gone: Group Five, Basil Read...) but bottoming out: Infrastructure SA pipeline, energy build-out, and private township/affordable housing demand are reviving niches. High failure rates persist - payment risk and 'construction mafia' site disruption are real operating hazards.

Long-term outlook	Fair	Recent growth momentum	Poor
News mood	Excellent	Failure trend (high = improving)	Fair
Ease of entry	Fair		

Getting in: **Moderate** · Recent momentum: the broader sector group grew -0.8% a year on average over the last three years

Are businesses failing here?

7 liquidations this month (30 so far this year), ▼ **down 30% vs a year ago**.

Persistently high liquidation share in Stats SA data relative to sector size; payment delays and underpricing dominate causes.

What kills businesses in this market:

- Government late payment
- Underpriced tenders
- Site disruption/extortion
- No working-capital buffer for retentions

What the survivors do differently:

- Private-sector and energy-sector clients over public tenders early on
- Specialised trades (fire, HVAC, solar structural) over general building
- Strict credit control and guarantee facility headroom

What it costs to start (rough ZAR planning figures)

- **Starting small:** R50k-R500k (subcontracting trade: electrical, plumbing, tiling + CIDB Grade 1-2)
- **Serious entry:** R1m-R10m (CIDB Grade 4-6 GB contractor, plant-light model)
- **At scale:** R20m-R150m (Grade 7-8 with owned plant, development JV equity)

CIDB grading gates public work; plant hire over ownership keeps balance sheets survivable through payment delays.

The numbers to watch (KPIs that decide survival)

Days sales outstanding — aim for <60 days (public clients often run 90-180)

Late payment is the #1 stated cause of contractor failure in SA.

Tender win rate — aim for >1 in 8 with disciplined margin floor

Winning on price below cost is the classic death spiral.

Retention + guarantee exposure vs cash — aim for <50% of free cash

Locked-up retentions sink otherwise profitable firms.

Project margin variance — aim for Actual within 3% of tendered

Scope creep and disruption erode thin (4-8%) margins fast.

Gaps in the market — where new money can go

- Renewable-energy civil/structural works (fastest-growing order books)
- Affordable/GAP housing developments in metros
- Water infrastructure maintenance (municipal crisis outsourcing)
- Alternative building tech (LSF, precast) for speed and cost

Why this market should grow over the next 5-10 years

- Infrastructure SA / Treasury capex commitments
- Energy transition build-out
- Housing backlog of 2m+ units

What could go wrong

- State capacity to actually spend budgets
- Payment culture
- Site security costs

In the news lately

▲ Macpherson welcomes $1bil investment unlocked through Infrastructure SA - South African Government News Agency

▲ Infrastructure South Africa raises alarm over high level of tender cancellations - Engineering News

▼ Construction delays in South Africa are early warnings of a system under strain - Engineering News

▲ DPWI expands artisan pipeline to drive infrastructure development - South African Government News Agency

13. Mining & Quarrying

Stable but competitive · 53/100

Bottom line: Structurally declining giant. PGM price slump, ageing deep-level gold mines, and rail/port constraints have cut output; but critical-minerals demand (manganese, vanadium, REE) and mining services offer niches. Not an SMME entry market except services.

Long-term outlook	Weak	Recent growth momentum	Poor
News mood	Excellent	Failure trend (high = improving)	Fair
Ease of entry	Poor		

Getting in: **Very hard (licences / heavy capital)** · Recent momentum: the broader sector group grew -0.8% a year on average over the last three years

Are businesses failing here?

Too few formal liquidations in this industry to read a trend.

Junior miners fail on funding and permitting timelines; services firms fail when anchored to a single mine client.

What kills businesses in this market:

- Commodity price cycles
- Permitting delays
- Single-client dependency
- Electricity and rail constraints

What the survivors do differently:

- Diversified client base across commodities
- Tailings retreatment over greenfield (lower capex, faster permits)
- Critical-minerals exposure (manganese, vanadium, chrome) over gold/PGM

What it costs to start (rough ZAR planning figures)

- **Starting small:** R250k-R1m (mining services: safety training, PPE supply, drilling support)
- **Serious entry:** R5m-R50m (aggregate quarry, alluvial/chrome tailings retreatment)
- **At scale:** R100m-R1bn+ (junior mining operation with mining right)

Mining rights take 2-5 years to secure; services businesses avoid this entirely and are the realistic entry point.

The numbers to watch (KPIs that decide survival)

All-in sustaining cost vs commodity price — aim for AISC below 80% of spot

Price-takers survive on cost position only.

Contract book coverage (services) — aim for >12 months forward revenue

Mines cut contractors first in downturns.

Safety: LTIFR — aim for Below industry average

Safety stoppages (Section 54) halt revenue instantly.

Gaps in the market — where new money can go

- Mine rehabilitation and closure services (regulatory tailwind)
- Tailings reprocessing with modern recovery tech
- Critical-minerals beneficiation ahead of export bans on raw ore
- Off-grid renewable power supply to mines

Why this market should grow over the next 5-10 years

- Critical-minerals demand (EV/battery supply chains)
- Weak rand supports export revenue

What could go wrong

- Structural decline of gold/PGM deep mining
- Transnet rail capacity
- Policy/regulatory friction
- Global decarbonisation hits coal

In the news lately

▲ Mining industry rebounds to 2-year high amid uneven recovery - businessreport.co.za

▼ SA’s mining output declines for first time in nine months - Business Day

▲ CLARENCE TSHITEREKE | Nuanced SA mining recovery amid structural constraints - Business Day

▲ Platinum to remain in deficit this year, while palladium, rhodium may record surpluses – Johnson Matthey - Mining Weekly

Where this data comes from

Live sources scraped on generation day:

- Stats SA P0043.1 Statistics of liquidations (monthly)
- SEDA SMME Quarterly Update
- Global Entrepreneurship Monitor (GEM) South Africa
- IFC: The Unseen Sector - MSME opportunity in South Africa
- SARB Quarterly Bulletin

Capital figures and KPI benchmarks are curated planning estimates, reviewed against industry publications — always verify against live quotes. This report is research, not investment advice.